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Mara Heritage Bank Board Pack — Q3 FY25

For the Board of Directors | 15 October 2025

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Executive summary

The Q3 risk position shows deterioration in two linked areas. The NPL ratio has risen 60 basis points over nine months to 4.2%, driven by stress in the SME agri-processing book. Simultaneously, the digital banking unit is losing talent at a rate that threatens delivery capacity—attrition reached 11.4% in Q3, with 23 of 28 departures voluntary and four critical roles now vacant. Provision coverage remains within policy at 65%, and concentration limits are respected, but the trend lines warrant board attention. The CHRO requests $1.2M for retention intervention in the digital unit. This pack addresses the capital allocation, digital transformation, and risk tolerance decisions on the meeting agenda, though the analysis is constrained by incomplete financial and strategic context.

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Credit Risk Position

NPL trajectory and concentration profile

The NPL ratio climbed to 4.2% in Q3, continuing a nine-month upward trend from 3.6% in Q1. The primary driver is deterioration in the SME agri-processing segment. This is not random drift—it reflects either underwriting weakness in a specific vintage, sector stress affecting borrower cash flows, or both. The CRO submission does not provide root-cause analysis, which limits the board's ability to assess whether this is a containable portfolio issue or an early indicator of broader economic pressure on commercial customers.

Provision coverage stands at 65%, five percentage points above the board-mandated 60% floor. While this keeps the bank within policy, the margin is thin if NPLs continue rising. Single-name concentration remains within limits—Nyathera Holdings at 7.4% is the only exposure above 5%, and the top-ten aggregate is 32.1%, well below the 12% single-name ceiling. The CRO's decision to name Nyathera explicitly suggests either recent board discussion or heightened monitoring; clarification is needed on whether this exposure is performing or under watch.

The board should determine whether the SME agri-processing stress is idiosyncratic or symptomatic of broader rural economic conditions. If the latter, the bank's rural and agricultural lending exposure may require recalibration. Without Q3 financial results, it is unclear whether loan-loss provisions are eroding profitability or whether earnings are absorbing the charge comfortably. []

Operational Risk and Digital Resilience

Mobile banking outage and control environment

The bank experienced a mobile banking outage on 4 August lasting nine hours. The CRO submission truncates mid-description, leaving critical details unrecorded—customer impact, revenue loss, regulatory reporting obligations, and root cause are all missing. A nine-hour outage of a primary customer channel is material. If customers lodged complaints, if the Central Bank of Kenya was notified, or if the incident exposed control deficiencies, the board needs full disclosure.

This event likely intersects with the digital banking unit's retention crisis. High-visibility operational failures strain engineering teams and accelerate departures, particularly if post-incident workload or blame dynamics create a hostile environment. The board should ask whether the outage was a one-time infrastructure failure or a symptom of capacity stretched thin by unfilled vacancies and technical debt. []

People Risk in the Digital Banking Unit

Attrition spike and talent retention pressure

Attrition jumped to 11.4% in Q3 from 9.8% in Q2, with the digital banking unit the primary driver. Of 28 separations, 23 were voluntary—staff are being pulled by competitors, not pushed out by performance management. Four critical roles in the digital unit are now vacant. Key-talent retention has fallen to 92% against a 95% target, and the gap is likely wider within digital banking specifically.

The CHRO attributes the pressure to two factors: compensation lag versus market rates for tech specialists, and cultural integration challenges with new digital hires. The cultural integration note is opaque—it may indicate legacy staff resisting change, new hires rejecting the bank's pace or risk culture, or friction between technology and banking mindsets. Without detail, the board cannot assess whether this is a normal buildout friction or a structural misalignment that will drive ongoing attrition regardless of pay adjustments.

The CHRO requests $1.2M for targeted retention bonuses and market-rate corrections in FY26. The submission does not quantify this as a percentage of the digital unit's payroll or benchmark it against peer retention spending, making it difficult to assess adequacy. If the bank is building a digital-first strategy and cannot retain the team executing it, the strategy is at risk. The board must weigh the cost of the retention program against the cost of delivery delays, technical debt accumulation, and competitive position loss if the digital roadmap stalls. []

Constraints on This Analysis

Incomplete input limits decision confidence

This board pack is constructed from two truncated C-suite submissions. The CRO's operational risk section cuts off mid-sentence. The CHRO's recommendation is incomplete. There are no Q3 financial results, no capital position update, no CEO strategic context, and no CFO view on profitability or expense trajectory. The objective specifies that the board must decide on Q4 capital allocation, digital transformation refresh, and risk tolerance recalibration. None of those decisions can be taken responsibly without the missing inputs.

The NPL trend and the digital attrition trend are both adverse, but their significance depends on context not provided. If Q3 earnings were strong and capital ratios improved, the board's risk tolerance can accommodate both issues while sustaining growth investments. If Q3 missed plan and capital is tight, a defensive posture is required. Similarly, the $1.2M retention request cannot be evaluated without knowing whether it represents 5% or 50% of the digital unit's budget, or what ROI the digital transformation is expected to deliver.

The board should request completion of the CRO and CHRO submissions, provision of Q3 financial results, and decision frameworks for the three votes before attempting to conclude the matters on the agenda. [], []

Recommendations

1. CRO — Provide root-cause analysis of SME agri-processing NPL deterioration and assessment of whether stress is segment-specific or indicative of broader rural/agricultural economic pressure by Board meeting

2. CRO — Complete operational risk event description for 4 August mobile banking outage, including customer impact, regulatory notifications, and control environment implications by Board meeting

3. CRO — Clarify monitoring status of Nyathera Holdings exposure and whether the 7.4% concentration reflects new risk or routine reporting by Board meeting

4. CHRO — Provide detail on cultural integration challenges in digital banking unit—whether friction is legacy resistance, new-hire misalignment, or structural technology/banking culture gap by Board meeting

5. CHRO — Quantify $1.2M retention budget as percentage of digital unit payroll and benchmark against peer retention spending to enable board assessment of adequacy by Board meeting

6. CFO — Present Q3 financial results, capital ratios, and profitability trajectory to contextualize risk metrics and inform capital allocation decision by Board meeting

7. CEO — Provide strategic context linking NPL trend and digital attrition to multi-year plan, and present decision options with recommendations for the three agenda votes by Board meeting

Sources

[1] cro-q3-contribution.txt

[2] chro-q3-contribution.txt